

ACM pitch deck

PITCH — ACM — VERDICT

PROPOSED — PENDING ADJUDICATION — no position today (0% of book); both benches land flat with a dated re-open, and the one finding that survives cross-examination is a data problem, not a price problem.

What we believe

AECOM is an engineering and program-management firm — it designs and manages infrastructure projects rather than building most of them itself. The stock is \$65.18, about 51.5% below its 52-week high of ~\$134–135 and only 8% above its 52-week low of \$60.35.

The bull case we brought into court was: the company took a single \$336.8M loss on one construction-management contract, guidance excluding that loss is intact at \$5.90–\$6.10 of adjusted earnings per share, backlog is at a record (+13%, with 1.6x more work booked than burned), and the shares therefore trade near 10x a normalized number after a fall the sector did not share.

After both benches, here is what we actually believe:

The valuation is genuinely low. Using the company's own balance sheet, the enterprise is worth roughly \$10.3B, which is about 10.7–11.0x this year's guided EBITDA and about 7.9–8.1x EBITDA excluding the charge. That is cheap against peers trading at 18–22x forward earnings.

But we no longer believe the charge is one-time. The same 10-Q that reports the loss also discloses that *disputed* amounts the company has booked as revenue and expects to collect — “significant claims recorded in contract assets” — grew from \$400M to \$620M in nine months, a 55% increase. The filing adds that clients may file material counter-claims and that the company “cannot provide assurances that it will be successful.” A fixed-price contractor whose disputed-recovery balance is compounding while it books a large loss as non-recurring has not finished taking losses; it has staged them.

We also believe our own bull write-up got a fact backwards. It claimed the underlying margin target was raised. The company's own release says the opposite: excluding the charge, adjusted operating margin and EBITDA margin **fell 60 basis points**, and in the Americas segment the ex-charge margin on net service revenue **fell 250 basis points**. Our brief cited that 250bp-lower number as supporting evidence.

Net: cheap, but on numbers we cannot yet trust. We wait for one dated document.

What the market believes

Two markets disagree with each other, and that is the most interesting fact in the file.

The **sell-side** is bullish: a “Strong Buy” consensus from 13 rating analysts and an average price target of \$86.92, about 34% above the current price. On the vendor’s own forward multiple (10.58x at a \$64.79 close), the street’s next-twelve-month earnings estimate is roughly \$6.12 — *above* the \$6.00 our bull case used.

The **tape** is not bullish. The stock fell about 28 points between September 2025 and February 2026 while published guidance was rising, then the company disclosed a large loss and cut its free-cash-flow guide from \$400M to \$300M. Peers did not fall: Jacobs is 10.9% off its high, Tetra Tech 14.2% off. AECOM is 51.5% off. Whatever the sell-side thinks, price-setting money has been marking down company-specific contract risk ahead of disclosure, and has now been right twice.

So the market’s operating belief is: *the reported earnings basis is not the real earnings basis*. That is exactly the belief our surviving bear finding supports.

Why we might have edge

1. **Nobody has priced the ex-charge cash economics.** At ~8x EBITDA excluding the loss, with record backlog, this is a cheap professional-services business if the loss is genuinely behind it. Neither bench found that number in any published note.
2. **The published “consensus” is nearly meaningless and could mislead the market as easily as it misled our own bench.** The \$4.49 fiscal-2026 mean comes from **three** analysts, and its range (\$3.95–\$6.03) is literally the company’s two different guidance bases side by side — the low end is the headline guide’s floor, the high end is the ex-charge guide’s ceiling. Averaging numbers computed on two different accounting bases produces a figure that anchors nobody correctly. Whoever resolves the basis first sees the real number first.
3. **The re-rating trigger is a specific, dated, public document.** The fiscal-2026 10-K, expected around November 2026, will show both the claims balance and the year’s net revisions to contract estimates. That is an unusually clean, binary, calendar-known test of the load-bearing question.
4. **Fiscal-year labeling is creating a fake expensive-vs-cheap argument.** Fiscal 2026 ends 2026-09-30 — about five weeks away and ~90% determined, contaminated by the charge. Anyone quoting “14x fiscal 2026” is quoting a nearly-finished, charge-polluted year. The forward year is where the argument actually lives, and there the market pays about 10.6x the street’s own number.

Why it might be priced in

Honestly, most of it probably is, and we should say so plainly.

- **The cheapness is not a secret.** Thirteen analysts cover it, the rating is Strong Buy, and the target implies 34% upside. We are not early, contrarian, or differentiated on the valuation view — we agree with a consensus that has been wrong all year.

- **There is no estimate divergence, only a multiple bet.** Our number sits *below* the street's forward estimate. So we are not saying earnings will be higher than expected; we are saying the multiple should be higher than 10.6x. We have no named mechanism that forces the multiple to move.
- **The tape's discount looks earned, not accidental.** The market front-ran two negative disclosures. Assuming the third discount is the mistake requires evidence we don't have.
- **The obvious catalyst may be worth nothing.** A strategic review of the construction-management business could produce a sale. The last time AECOM exited a construction business, it kept 18.7% of the buyer, Shimmick — 7,745,000 shares now worth about \$29M against a 52-week range of \$1.95–\$6.76. (Caveat below: our bench over-read this.)
- **Cash is being spent on buybacks while the balance sheet absorbs the damage.** Shares are still being retired while free cash flow was cut by \$400M→\$300M, roughly \$315M of project cash burn remains, and true net debt is about \$2.0B.
- **Revenue is shrinking while backlog grows.** The street models fiscal 2026 revenue of \$15.3B, down 5.2% year over year, against “record backlog +13%.” Rising backlog with falling revenue is a conversion problem, and neither bench explained it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Guidance was raised through the charge”	Read the company's earnings-release exhibit (8-K, 2026-08-10) directly	Company's own words: the ex-charge range is “ <i>consistent with the Company's prior guidance.</i> ” Same exhibit: ex-charge margins fell 60bp company-wide and 250bp in the Americas	NO — refuted. Our own bull write-up had the sign backwards, twice, and cited the lower 18.0% Americas margin as supporting evidence
The \$5.90–\$6.10 ex-charge earnings figure exists in a primary document	Same exhibit, quoted verbatim by both benches	It exists. But headline guidance is \$3.95–\$4.15 EPS / \$935–965M EBITDA, and the charge has no line in the company's GAAP-to-adjusted reconciliation. The higher figure is a second, unreconciled layer	Number: yes. As the headline basis: no
Buybacks, not operations, explain the “raise”	Compared share counts across filings	Direction right, size wrong. Our red bench compared a weighted average from a year earlier (133.078M) to a point-in-time cover count (128.696M) — different units, 13 months apart. Correct comparison: ~1.4% since February ≈ \$0.08/share , not \$0.19	Partly — OUR BENCH ERRED, magnitude overstated ~2.4x. Demoted from near-fatal to a sizing footnote
“We would be the single most bullish analyst on the street”	Pulled the published forecast page	The \$4.49 consensus is three analysts , on a fiscal year 5 weeks from ending , with a range that spans two accounting bases. The same page's forward multiple implies a street next-	NO — OUR BENCH ERRED. Red labelled this fatal; the refutation was sitting in red's own “what

Claim	How checked	Found	Confirmed?
		twelve-month estimate of ~ \$6.12 — above our \$6.00	would change my mind” list
The 28-point fall was a sector de-rating we can arbitrage	Pulled peer prices	Jacobs –10.9% off high (18.7x forward), Tetra Tech –14.2% (21.9x), AECOM –51.5%. A 38–41 point gap is far too wide for sector drift	Confirmed as a level check. NOT confirmed as a dated-window check — neither bench priced peers at September 2025 and February 2026. BOTH BENCHES INCOMPLETE; the cheapest decisive check is still unrun
The charge is one-time	10-Q, read in full	Disputed claims in contract assets: \$620M at 6/30/26 vs \$400M at 9/30/25, +55% in nine months. Filing discloses a “reasonable possibility” clients file material counter-claims and no assurance of success. One unnamed project drove \$336.8M of a \$344.6M nine-month revision	NO — refuted. This is the strongest finding either bench produced, and neither bench led with it
Balance sheet is clean	10-Q balance sheet detail	Debt \$2,745.2M, cash \$1,012.9M — but \$250.9M of that cash sits inside consolidated joint ventures and is not freely available to the parent. Freely usable cash ≈ \$762M; true net debt ≈ \$1.98B , not \$1.73B	Confirmed — OUR BENCH ERRED, understating net debt by \$251M before the other bench closed its own flagged gap
Is it actually cheap?	Computed both ways off the 10-Q	~ 10.7–11.0x enterprise value to guided EBITDA; ~ 7.9–8.1x excluding the charge	Confirmed — and our red bench never showed the ex-charge figure, i.e. never showed the strongest number against its own verdict
“Selling the construction unit re-rates the stock”	Read the 13D/A and marked the retained stake	AECOM is the <i>filer</i> , holding 18.7% of Shimmick (~\$29M). But that price measures the buyer’s fortunes, not the seller’s, and 0.35% of our market value cannot carry a catalyst valuation	Fact confirmed, conclusion NOT — OUR BENCH ERRED (wrong subject). The correct test — what AECOM’s own multiple did across its 2021 construction exit — is UNVERIFIED; no price series was pullable
“Only two problem contracts exist”	Attempted independent corroboration	Management assertion only. One of the two design-build projects already slipped from Q1 FY27 to Q2 FY27; the second (substantial completion Q1 FY27) carries no charge yet	UNVERIFIED — excluded from the verdict by both benches

Claim	How checked	Found	Confirmed?
Record backlog supports the revenue line	Compared backlog claim to street revenue model	Backlog +13% and 1.6x book-to-burn, against modelled fiscal-2026 revenue of \$15.3B, down 5.2%	Gap confirmed, cause unverified. Neither bench reconciled it — a live open item
Detector coverage was complete	Compared both benches' detector lists to what was dispatched	Red's list omitted 4 dispatched detectors and answered 4 that were never dispatched	NO — process error, ours. Corrected by the second bench
Prices verified against our own broker	Attempted a live IBKR quote	search_contracts was permission-denied in both sessions. Peer and consensus prices are vendor closes from 2026-08-21. Desk live anchor \$65.18 vs vendor \$64.79 = 0.6% apart	NOT verified. Within tolerance, but the peer prices underpinning the sector argument are unverified vendor data

PROPOSED ENTRY BANDS

Both benches say no entry. Position today: FLAT, 0% of book. The named reason is not the price — at roughly 8x ex-charge EBITDA the price is not the problem. The named reason is that the “one-time” premise is contradicted by a growing disputed-claims balance in the company’s own filing. A cheaper price does not fix a data problem, so we do not set a buy level. These are the conditions that would re-open the case.

Re-open condition A — the primary one, dated. Fiscal-2026 annual report (10-K), expected around November 2026. Both of the following, from the filing itself: - “Significant claims recorded in contract assets” **below \$500M** (down from \$620M — i.e. the disputed balance converting to cash, not compounding), **and** - net loss from revisions to contract estimates **approximately zero** for the fourth quarter.

If both hold → **starter position, 0.5% of book**, bought at whatever the market is then, with no price condition attached. This is deliberately price-blind: what we are buying is the resolution of the data question. If only one holds → stay flat, re-court in 90 days.

Re-open condition B — independent of A. An 8-K announcing resolution of the construction-management strategic review, with **cash proceeds and a capped indemnity**. Stock consideration, an earnout, or an uncapped indemnity is worth zero to us and does not re-open anything. Cash-with-cap → re-court immediately, starter 0.5%.

Re-open condition C — the margin reversal. Fourth-quarter segment adjusted EBITDA margin at or above **17.4% on an ex-charge basis**, reversing the 60bp decline. That would show the margin deterioration was mechanical to the charge rather than structural. Reported with the fiscal-2026 print.

Price levels — watch triggers only, not buy triggers.

Level	What it means	Action
\$63.00	Top of our own defensible fair value on the <i>low</i> accounting basis (14x the street's \$4.49). Below this, the valuation objection lapses entirely	Watch only. Data objection still stands
\$60.35	The 52-week low. A clean break says the tape is still front-running damage we haven't found	Re-read the next filing immediately; do not buy the break
\$54.00	Bottom of that same fair-value range (12x \$4.49) — cheap even if the charge repeats	Escalate to a full re-court ahead of the 10-K; still requires the claims number before any buy

Sizing if re-opened: 0.5% of book as a starter. No second tranche until the claims balance has declined in **two** consecutive filings. Ceiling of 1.0% until the two design-build P3 projects reach substantial completion without further charges.

Exits/trims: none — we hold nothing.

Catalyst dates: - **2026-09-30** — fiscal 2026 year end (confirmed from the 10-Q header). - **2026-11-17** — expected fourth-quarter and full-year results. **Unconfirmed** — this is a vendor-derived date, no AECOM press release names it; last year's equivalent was 2025-11-18. About 59 trading days out. - ~**November 2026** — fiscal-2026 10-K, the document that decides condition A. Normally filed within days of the results. - **Quarter ending 2026-12-31** — scheduled substantial completion of the second design-build P3 project, which carries no charge to date. - **Quarter ending 2027-03-31** — the first design-build P3 project, already slipped one quarter.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 54.0 (deck-provisional: Bottom of fair value (12x \$4.49) — cheap even if the charge repeats; escalate to full re-court ahead o)
- filing watch: 10-K until 2027-02-18 (deck-provisional: Decisive document: buy only if significant claims in contract assets fall below \$500M AND Q4 net revis)
- dated pack ACM|2026-09-30: ACM: Fiscal 2026 year end (per 10-Q header) (date confirmed=True)
- dated pack ACM|2026-11-17: ACM: Expected FQ4 and full-year fiscal 2026 results; vendor-derived date, no company release names it, FY25 analogue was 2025-11-18 (date co
- dated pack ACM|2026-12-31: ACM: Scheduled substantial completion of the second design-build P3 project, which carries no charge to date (date confirmed=False)
- dated pack ACM|2027-03-31: ACM: Revised completion window for the first design-build P3 project, already slipped one quarter (date confirmed=False)

What remains unverified

- **Whether the two disclosed design-build P3 contracts are the only fixed-price contracts of that type.** This is management's assertion, uncorroborated by any filing either bench could reach. Both benches flagged it and both excluded it from their verdicts — correctly, but it is the largest unknown in the file.
- **The identity and location of the loss-making construction-management project.** It is unnamed in the 10-Q. One unnamed job drove \$336.8M of a \$344.6M nine-month revision. Because it is unnamed, every location-based cross-check we own — permits, site records — is unrunnable. **That non-disclosure is itself a finding**, not an absence of one.
- **The dated peer comparison.** We know where peers trade today. We do not know where they traded on the two dates that matter.
- **What AECOM's own multiple did across its 2021 exit from self-perform construction.** This is the correct precedent for valuing a divestiture catalyst, and no price series was pullable in either session. Our bench substituted the wrong precedent (the buyer's stock) and drew a conclusion from it.
- **Why backlog is up 13% while modelled revenue is down 5.2%.** The gap is confirmed; the mechanism is not. It could be slower conversion, mix, or contract-type shift — each has a different meaning for margins.
- **How much of the \$1,012.9M cash is genuinely available.** We now know \$250.9M sits in joint ventures. We do not know whether the remaining ~\$762M carries any further restriction.
- **All peer and consensus prices**, which are vendor closes, not broker-verified.
- **Bench conviction:** the bearish bench put its kill case at 8/10; the reviewing bench put “stay flat with a dated trigger” at 7/10. Both named the same residual doubt: roughly 8x EBITDA excluding the charge, with record backlog, is genuinely cheap, and the one check that would settle the sector question has not been run.

Primary sources: [8-K exhibit 99.1, 2026-08-10 — guidance language and margin figures quoted verbatim](#) · [10-Q, accession 0000868857-26-000021, filed 2026-08-11 — claims in contract assets, debt, cash, joint-venture cash, share counts](#) · [SC 13D/A, accession 0001104659-26-094873, filed 2026-08-12 — the Shimmick stake](#)

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